

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 883

BY EDUCATION COMMITTEE

AN ACT

RELATING TO EDUCATION; AMENDING CHAPTER 10, TITLE 33, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 33-1035, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING SCHOOL DISTRICT EARNED AUTONOMY; AMENDING CHAPTER 52, TITLE 33, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 33-5207A, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING PUBLIC CHARTER SCHOOL EARNED AUTONOMY; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 10, Title 33, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 33-1035, Idaho Code, and to read as follows:

33-1035. SCHOOL DISTRICT EARNED AUTONOMY. (1) Notwithstanding any provision of law to the contrary, a school district that satisfies the requirements set forth in this section may spend its allocated state funding, including but not limited to discretionary funds, categorical funds, and salary apportionment, in the manner it deems best serves its students and schools.

(2) A school district shall have the option to participate in the flexibility provided in this section if it:

(a) Meets the following academic benchmarks:

(i) The school district's composite proficiency rate on the Idaho standards achievement test is in the top twenty percent (20%) of school districts statewide or the school district exceeds the state proficiency average by at least fifteen (15) percentage points in both English language arts and math;

(ii) Seventy-five percent (75%) or more of the school district's K-3 students score proficient on the spring administration of the Idaho reading indicator or the school district demonstrates a fifteen percent (15%) reduction in students scoring below basic annually; and

(iii) The school district maintains an adjusted cohort graduation rate that is three (3) percentage points higher than the state average or the percentage of graduates who earn a college and career readiness indicator that includes career technical education completion, an associate's degree, qualifying advance placement, an international baccalaureate, or a dual credit course is five (5) percentage points higher than the state average;

(b) Provides the following evidence demonstrating financial stability for each of the previous three (3) fiscal years:

(i) An unqualified audit opinion or a qualified opinion qualified solely on the basis of not reporting the actuarial value of the public employee retirement system of Idaho sick leave plan pur-

1 suant to statement no. 45 of the governmental accounting stan-
2 dards board;

3 (ii) An audit devoid of significant findings and conditions, ma-
4 terial weaknesses, or significant internal control deficiencies;
5 and

6 (iii) An audit that does not include a going concern disclosure in
7 the notes or an explanatory paragraph within the audit report.

8 (3) Participating school districts shall be exempt from the reporting
9 requirements, including those established through rulemaking authority,
10 of sections 33-119, 33-135, 33-1002B, 33-1004E, 33-1028(1)(f) and (2),
11 33-1405, 33-1632, 33-1805, 33-1811, 33-2004, and 33-4805, Idaho Code, with-
12 out incurring a penalty or a reduction in funding.

13 (4) Participating school districts shall automatically maintain
14 spending flexibility from year to year, except that the state department of
15 education may revoke eligibility if:

16 (a) The school district fails to receive an annual unmodified audit
17 opinion or if the auditor's report on internal controls reports one (1)
18 or more material weaknesses or significant deficiencies; or

19 (b) The school district fails to satisfy the academic requirements set
20 forth in subsection (2) of this section for two (2) or more years.

21 (5) In 2029, the state board of education shall report to the legisla-
22 ture the number of participating school districts and changes, if any, in
23 student growth or proficiency on the Idaho standards achievement test. Ad-
24 ditionally, the report shall include information regarding whether any par-
25 ticipating school districts collected a levy, and any disclosures required
26 pursuant to section 33-802B, Idaho Code, shall be appended to the report.

27 SECTION 2. That Chapter 52, Title 33, Idaho Code, be, and the same is
28 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
29 ignated as Section 33-5207A, Idaho Code, and to read as follows:

30 33-5207A. PUBLIC CHARTER SCHOOL EARNED AUTONOMY. (1) Notwithstanding
31 any provision of law to the contrary, a public charter school that is not a
32 virtual school, as defined in section 33-5202A, Idaho Code, and that sat-
33 isfies the requirements set forth in section 33-5218(2)(b), (e), and (g),
34 Idaho Code, may spend its allocated state funding, including but not limited
35 to discretionary funds, categorical funds, and salary apportionment, in the
36 manner it deems best serves students and the public charter school. Partici-
37 pation shall not require a revision to the public charter school's charter or
38 performance certificate.

39 (2) Participating public charter schools shall be exempt from report-
40 ing requirements established in statute or through rulemaking authority
41 that are not federally mandated or required for public school finance
42 purposes. This exemption includes but is not limited to reporting require-
43 ments established pursuant to sections 33-119, 33-135, 33-1002B, 33-1004E,
44 33-1028(1)(f) and (2), 33-1405, 33-1632, 33-1805, 33-1811, 33-2004, and
45 33-4805, Idaho Code, without incurring a penalty or a reduction in funding.

46 (3) Participating public charter schools shall automatically maintain
47 spending flexibility from year to year, except that the state department of
48 education may revoke eligibility if:

1 (a) The school fails to receive an annual unmodified audit opinion or if
2 the auditor's report on internal controls reports one (1) or more mate-
3 rial weaknesses or significant deficiencies;

4 (b) The school fails to satisfy the academic requirements set forth in
5 section 33-5218(2)(g), Idaho Code, for two (2) or more years; or

6 (c) The school's charter is subsequently revoked, not renewed, or re-
7 newed with conditions.

8 (4) In 2029, the state board of education shall report to the legisla-
9 ture the number of participating public charter schools and changes, if any,
10 in student growth or proficiency on the Idaho standards achievement test.

11 SECTION 3. An emergency existing therefor, which emergency is hereby
12 declared to exist, this act shall be in full force and effect on and after
13 July 1, 2026.